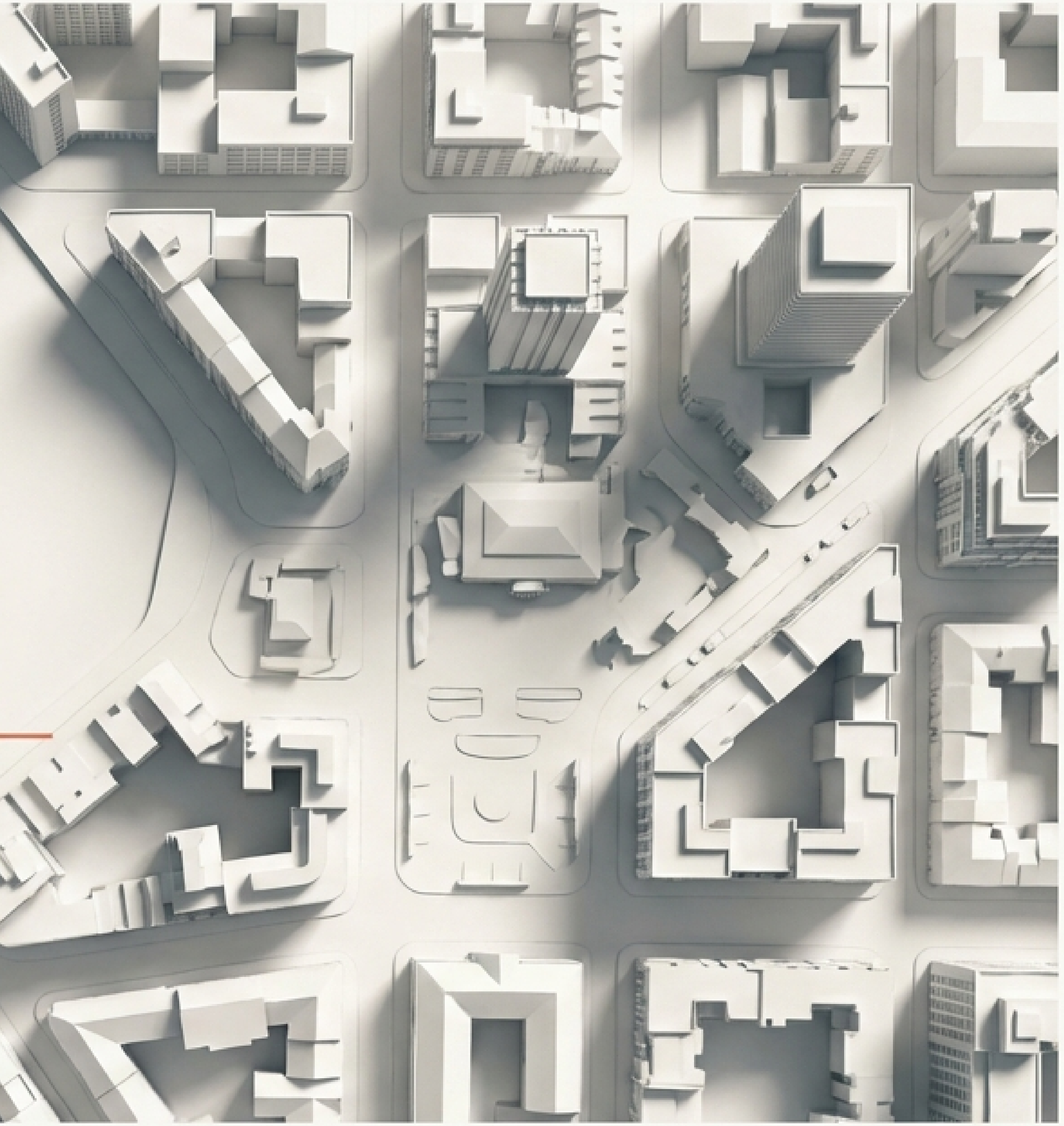
A STRATEGIC GUIDE TO KBLI 68111

Navigating Real Estate Operations in Indonesia for Owned and Leased Properties



Based on Regulation PP 28/2025

DEFINING THE OPERATIONAL SCOPE OF KBLI 68111

This classification covers the purchase, sale, rental, and operation of owned or leased real estate. It encompasses a broad range of property types and related activities.

CORE ACTIVITIES

- Buying & Selling Property
- Renting & Operating Property
- Land Sales & Plot Division (without development)

COVERED PROPERTY TYPES

Residential
Apartment Buildings, Houses, Flats (furnished or unfurnished)

Commercial
Malls, Shopping Centers

Industrial/Other
Storage Facilities, Warehouses

Specialized
Operating residential areas for mobile homes

THE INVESTMENT DASHBOARD: KEY PARAMETERS FOR KBLI 68111

RISK LEVEL

Low Risk

FOREIGN INVESTMENT (PMA)

Permitted

100%

MAXIMUM FOREIGN OWNERSHIP

PERMITTED BUSINESS SCALE

Micro, Small, and Large Scale Operations

Source: PP 28/2025

THE COMPLIANCE PLAYBOOK: UNDERSTANDING YOUR OBLIGATIONS

Compliance under KBLI 68111 is structured around three core pillars. While some requirements are universal, specific obligations apply depending on the nature of your development project.

Pillar 1: Foundational Requirements

The essential business licensing prerequisites.

Pillar 2: General Business Conduct

Adherence to overarching trade regulations.

Pillar 3: Specific Development Obligations

Detailed requirements for housing projects, which vary by type.

UNIVERSAL OBLIGATIONS: THE FOUNDATION OF COMPLIANCE

1

Pillar 1 - Foundational Requirements

- **Requirement:** Obtain Basic Business Licensing Requirements.

This is the mandatory first step for legal operation in Indonesia, establishing the business entity.

2

Pillar 2 - General Business Conduct

- **Requirement 1:** Fulfill all obligations related to mixed-use development scope.
- **Requirement 2:** Comply with all prevailing laws and regulations within the trade sector.

These obligations ensure the business operates within the broader legal and commercial framework of Indonesia.

PILLAR 3: A DIVERGING PATH FOR HOUSING DEVELOPMENT

**Crucial First Step*: All housing developments must possess a Land Use Conformity Approval (KKPR).

MBR (Low-Income Housing) Development

Projects targeting the low-income housing market follow a specific set of approval and reporting protocols.

General Housing Development

All other housing development projects adhere to a similar, but distinct, set of compliance obligations with additional financial reporting.

COMPLIANCE PATHWAY: MBR (LOW-INCOME HOUSING)

Stage 1: Securing Approvals (SK Pengesahan)

Obtain Certificate of Endorsement (SK Pengesahan) from Local Government for:

- Housing area master plan and/or site plan.
- Plan for separating the master HGB certificate per plot/strata title unit.
- Strata title delineation plan per apartment unit.
- Function and utilization plan per apartment unit.
- Plan for separating management of residential vs. non-residential areas.
- Any revisions to the above documents.

Stage 2: Fulfilling Reporting (Tanda Terima)

Obtain Receipt (Tanda Terima) from Local Government for Submission of:

- Standard financial statements audited by a public accountant.
- Cash flow projection/analysis.
- Report on the implementation of the sale and purchase agreement system (PPJB).
- Report on the formation of the owners and tenants association (PPPSRS) per apartment building.

COMPLIANCE PATHWAY: GENERAL HOUSING

Stage 1: Securing Approvals (SK Pengesahan)

Obtain Certificate of Endorsement (SK Pengesahan) from Local Government for:

- Housing area master plan and/or site plan.
- Plan for separating the master HGB certificate per plot/strata title unit.
- Strata title delineation plan per apartment unit.
- Function and utilization plan per apartment unit.
- Plan for separating management of residential vs. non-residential areas.
- **Calculation of conversion funds.**
- Any revisions to the above documents.

Stage 2: Fulfilling Reporting (Tanda Terima)

Obtain Receipt (Tanda Terima) from Local Government for Submission of:

- Financial statements audited by a public accountant, **including a recap of specific financial ratios:**
  - Debt to current assets ratio
  - Debt to fixed assets ratio
  - Debt to equity ratio
- Cash flow projection/analysis.
- Report on the implementation of the sale and purchase agreement system (PPJB).
- Report on the formation of the owners and tenants association (PPPSRS).

MBR VS. GENERAL HOUSING: KEY REGULATORY DIFFERENTIATORS

	MBR (Low-Income Housing)	General Housing
Approvals (SK Pengesahan)	Standard set of required plans.	Includes all MBR plans **PLUS** the requirement for a '**Calculation of conversion funds**.'
Financial Reporting	Requires standard audited financial statements.	Requires audited financial statements **PLUS** a **specific recap of three key financial ratios** (Debt to Assets, Debt to Equity).

The primary distinction for General Housing lies in more rigorous financial scrutiny, including conversion fund calculations and detailed debt ratio reporting.

THE AUTHORITY MATRIX: IDENTIFYING THE CORRECT PERMITTING BODY

PROJECT SCOPE	ISSUING AUTHORITY
Within a single Regency/City	Regent/Mayor
Across Regencies/Cities within a province (or in Jakarta)	Governor
Across Provinces	Minister/Head of Agency

Special Provision for Foreign Investment (PMA)

Regardless of geographic scope, all projects classified as Foreign Investment (PMA) fall fall under the authority of the **Minister/Head of Agency**.

KBLI 68111: A STRATEGIC SUMMARY FOR INVESTORS

High-Potential Framework: KBLI 68111 is a low-risk classification fully open to 100% foreign ownership, covering a wide range of real estate activities.

Structured Compliance: The obligations are manageable when broken down into Foundational, General, and Development-Specific pillars.

Critical Pathway Choice: For housing, the compliance requirements diverge significantly for MBR vs. General projects, primarily in financial reporting.

Clear Authority: Permitting authority is tiered by geography, with all foreign investment (PMA) centralized under the Minister/Head of Agency.

Understanding these parameters is the first step to successfully navigating and capitalizing on opportunities within Indonesia's real estate market.